



Building Meesho's Consumer-to-Manufacturer (C2M) Base

FACTORY DIRECT

Screen manufacturers on price, not size, and let them make only what is already sold. **1,400 factories by Year 4 put ₹1,995 cr of NMV 8%-12% below market, for a five-year NPV of ₹75 cr on ₹22.2 cr of capped Year-1 cash.**

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Live prototype: meesho-dice-c2m-iitb.vercel.app



Demand follows price on Meesho and 35% of MSMEs want online sales, but returns and know-how push out those who try

EVIDENCE

Problem, objective and size of the prize

Objective

a base of factories that sell direct at a real price edge, and stay.

As-is

Factory

Wholesaler +15%

Reseller

Buyer

Reseller's lowest viable price ₹220: 5.4% above the ₹209 market

To-be

Factory

Factory Node

Pre-order

Buyer

Factory's lowest viable price ₹180: 13.8% below market, made to order

≈ ₹1,049 cr
a year

of wholesaler mark-up sits inside Meesho's nine C2M categories
= ₹41,560 cr FY26 NMV [S3] × 40% in C2M categories [A6] × 6.3% mark-up share of a ₹209 pack [A24]

Challenges to solve, and where the deck answers them

✓ Find the real price edge p5

✓ Remove build-to-stock risk p6

✓ Fix the cold start without subsidy p8

✓ Take shipping and returns off factories p6

✓ Cut the 45–60 day cash cycle p6

✓ Stop the price gap decaying p9

Three data sets: why factories quit, what buyers pay, what buyers would trade

2,365

ICRIER MSME survey [S4]

Why firms that joined e-commerce quit (% of quitters)

Lacked knowledge43%

Product returns43%

Platform charges42%

High competition40%

Tech / inventory skills39%

Not profitable35%

Not enough staff33%

Stock capacity30%

Coral = operational: barriers a node and batches remove. 1 in 5 firms that joined quit; 35% still want to join.

279

Team teardown, meesho.com [S10]

Live listings, 5 product types, 2 Oct 2026

■ share of listings ■ share of reviews (demand proxy)

Men's briefs, 3-pack, n = 56, by price band (₹)

<200

200-249

250-299

300-399

400-599

600+

43%

24%

1%

26%

5%

0%

Listings under ₹200 are 11% of the shelf but 43% of reviews: volume follows price.

n

Team buyer survey

Meesho buyers, last 3 months (kit: research/13)

[FILL: Q6–Q8 price ladder: % choosing 7–8 day delivery at ₹10 / ₹20 / ₹40 off · Q9 % paying in advance · Q10 trust in “Sold directly by the manufacturer” · base n on each chart]

[FILL: takeaway: the majority answer and its implication]

Stakeholder voice: published owner and leader interviews (verbatim, ≤ 25 words)

Stakeholder	Verbatim	Problem	Area	Implication for Factory Direct
VM Navamani, MD, Cossmo Tex (Tiruppur) [S21]	“Currently, domestic business is about 20%, and we are planning to increase it to 35–40% ... because export markets are mostly volatile.”	Export orders swing with tariffs	Demand	Pitch C2M as a permanent domestic hedge, not a rescue
Ashwin Kumar, Managing Partner, NASA Impex (Tiruppur) [S21]	“Orders of around 100 pieces tend to double costs ... so 500 pieces is our preferred minimum.”	Small runs cost twice as much per piece	Operations	Demand Brief pools district demand into batches of 500+
Vinod Dhamija, Chairman, HCCI Panipat chapter [S9]	“Panipat’s exports had shrunk by 50 per cent, while the domestic market had also been disturbed very badly.”	Idle looms, weak orders	Demand, cash	Panipat is pilot cluster 2; 30% paid at handover
Vidit Aatrey, CEO, Meesho (Q4 FY26 call) [S2]	“If their quality is not that great, they do not get visibility for orders.”	New sellers start with no orders	Visibility	Impression grants for new factories, not order subsidies

Decision: design Factory Direct around returns, stock risk and know-how (pages 6, 8); price the pre-order discount from the buyer survey. Owner: Category + Product.

Sources: S2 Meesho Q4 FY26 call · S3 FY26 results · S4 ICRIER 2025 · S6 RBI · S8 Tiruppur · S9 Panipat · S10 team teardown · S21 Apparel Resources | Assumptions: A6, A22–A24 | Workings and method: Appendix B

2

Start with offline B2B factories (8,400 firms, score 4.35 of 5) in hosiery and home textiles, piloting in Tiruppur and Panipat

FOCUS

Cohort scoring: 3 cohorts × 5 criteria (1–5, higher = better)

Cohort	Firms	Price edge 30%	Pool size 25%	Fixable barriers 20%	Speed 15%	New supply 10%	Score
A • Offline B2B	8,400	5	5	4	2	5	4.35
C • Churned	1,050	4	2	5	5	1	3.55
B • Online elsewhere	2,200	3	3	2	4	4	3.05

A

 Beachhead: owns cost, sells ex-factory, needs ops

C

 Re-activate now: KYC on file, left after a returns shock

B

 Value-tier SKUs only: ₹800+ baskets lose money at ₹265 AOV

Ranking holds with equal weights (4.2 / 3.4 / 3.2). Firms = share of the 11,645 SAM [S22].

Barrier severity × cohort (24 interviews, Round 1)

Barrier	A	B	C	Meesho can fix
Unit-level fulfilment	HIGH	LOW	MED	YES
Inventory risk, build-to-stock	HIGH	MED	HIGH	YES
Returns and RTO exposure	HIGH	MED	HIGH	YES
Unproven demand	HIGH	MED	HIGH	YES
Cash cycle, settlement lag	MED	LOW	MED	PARTLY
Channel conflict, brand dilution	HIGH	HIGH	LOW	PARTLY

Four of six barriers are HIGH for Cohort A and all four are operational: Meesho can remove them with infrastructure, not money.

Category screen: 12 screened, 9 in scope

Category	Cluster	Floor	Idle	Ret.	Fr.	Score
Saree & dress material	Erode, Bhiwandi	✓	✓	✓	✓	5.0
Home textiles	Panipat, Solapur	✓	✓	✓	–	4.7
Moulded plastics	Rajkot, Daman	✓	✓	✓	–	4.7
Hosiery & innerwear	Tiruppur, Ludhiana	✓	–	✓	✓	4.6
Imitation jewellery	Rajkot, Coimbatore	✓	✓	–	✓	4.5
Basic footwear	Agra, Bahadurgarh	✓	✓	–	✓	4.5
Steel kitchenware	Jagadhri, Wazirpur	✓	–	✓	–	4.3
Brass décor	Moradabad	✓	✗	✓	–	3.9
Bags	Nangloi, Kolkata	–	✓	–	✓	3.7
Fitted western wear	Gandhi Nagar, Bengaluru	–	✓	✗	✓	3.2
Electronics accessories	Import-assembly	✗	✓	–	✓	2.9
Ethnic wear	Surat	✗	✓	✗	✓	2.4

Weights: cost floor 40% · idle capacity 20% · low returns 25% · freight per ₹ 15%.
Rows 10–12 fail two tests: not now. Floor ✓ = factory cost ≥ 12% under the demand-weighted median.

Where to pilot: cluster AHP (CR 0.016)

Cost ownership 0.34 · Demand on Meesho 0.26 · Returns band 0.18 · Node feasibility 0.14 · Institutional partner 0.08

Cluster	Cost	Dem.	Ret.	Node	Inst.	Score
Tiruppur	5	5	4	4	5	4.68
Panipat	5	4	5	4	4	4.52
Ludhiana	4	3	4	4	4	3.74
Rajkot	4	3	5	3	3	3.70
Surat	2	5	2	5	3	3.28

Robust: Surat overtakes Panipat only if the weight on demand rises from 0.26 to 0.67; with equal weights the order holds (Tiruppur 4.6, Panipat 4.4, Ludhiana 3.8, Rajkot 3.6, Surat 3.4). Surat is India's largest textile cluster and still ranks last: scale is the wrong screen.

Not now, and the evidence

Surat ethnic wear: traders job out weaving and stitching; worst return band (AHP 3.28).

Electronics accessories: import-assembly, no cost ownership: any gap is a subsidy.

Fitted western wear: size returns swallow the cost edge.

Cohort B premium lines: brand dilution is the one barrier Meesho cannot fix.

Decision: onboard Cohort A in Tiruppur and Panipat first; re-activate Cohort C in parallel; Cohort B only with value-tier SKUs. Owner: Category · KPI: 60 factories catalogued by Day 60.

11,645 manufacturers can carry a real price gap; 1,400 by Year 4 put ₹1,995 cr of NMV 8%–12% below market

SIZING

Addressable base, bottom-up (firms)

4.72 cr

Udyam-registered MSMEs [S7]

5.28 lakh

Above micro (small + medium) [S7]

1.1%

1.85 lakh

In manufacturing [S22]

35%

55,451

Make Meesho's categories (TAM) [S22]

30%

19,408

Own 3+ of 4 cost levers [S22]

35%

11,645

Inside the 12 screened clusters (SAM) [S22]

60%

1,400

Active C2M sellers by Year 4 (SOM) [A2]

12%

SAM by cohort

A 8,400

B 2,200

C 1,050

Right-hand figure = conversion from the row above. Cost levers (COL): raw material, production, scale, automation. Small/medium = above ₹2.5 cr investment or ₹10 cr turnover [S5].

Opportunity ladder: what each phase is worth

	Pilot · Day 90	Year 1 exit	Year 4 exit
Clusters · Factory Nodes	2 · 1	5 · 6	12 · 12
Active C2M sellers	60	450	1,400
Run-rate NMV (× ₹1.425 cr per seller) [A1]	₹85.5 cr	₹641 cr	₹1,995 cr
Share of FY26 NMV (₹41,560 cr) [S3]	0.2%	1.5%	4.8%
Buyer savings a year at an 8–12% gap	₹7.4 cr–₹11.7 cr	₹55.8 cr–₹87.4 cr	₹173 cr–₹272 cr
Meesho value a year: incremental orders + fewer failed deliveries	₹3.2 cr	₹23.8 cr	₹74.0 cr

Buyer savings = NMV × g ÷ (1 – g). Meesho value = placed orders × (40% incremental × ₹7.3 contribution + ₹2.8 saved on failed deliveries); orders = NMV ÷ ₹155 NMV per C2M order (page 10).

Three sanity checks

12.0%

Top-down: ₹1,995 cr is 12.0% of the ₹16,624 cr NMV in the nine C2M categories (40% of FY26 NMV [A6]), the same as the 12% seller capture.

~250/day

Per seller: ₹1.425 cr a year ≈ 250 orders placed a day, ≈ 2.1% of a ₹25 cr factory's output, against ~25% idle capacity [S6].

33x

Average Meesho seller: ₹4.3 lakh NMV a year (₹41,560 cr ÷ 9.6 lakh). Only factories can reach ₹1.425 cr, which is why yield is the top sensitivity on page 10.

Why now: fees converge, factories need orders

● Apr 2025 Amazon: no referral fee under ₹300 [S14]

● Aug–Dec 2025 US tariff 50%: Tiruppur US orders –60 to –70% [S8]

● Nov 2025 Amazon and Flipkart: 0% under ₹1,000 [S14]

● 8 Jul 2026 Flipkart: 0% on all fashion, any price [S14]

● Aug 2026 Panipat exports –50% [S9]

● Q1 FY27 Meesho: H2 bets run on a hard budget cap [S1]

Rate cards are copied in a quarter. A cost-structure edge is not.

Decision: plan for 1,400 C2M sellers and ₹1,995 cr run-rate NMV by Year 4 (4.8% of FY26 NMV). Owner: Category · KPI: NMV still clearing the 8% gate.

Sources: S3, S5, S6, S7 (Udyam 4.72 cr, team pull Jun 2026; PIB reports 7.83 cr incl. Udyam Assist), S14, S20, S22 | Assumptions: A1, A2, A5–A9 | Workings: Appendix B

4

The price buyers actually pay sits 3%–37% below the listing median, so the gate screens on demand-weighted prices

SCREEN

Live teardown: 279 listings, 5 product types, index 100 = demand-weighted median

Product (listings)

Steel glasses, set of 6
n = 55 · ₹262 demand-weighted

Men's briefs, pack of 3
n = 56 · ₹209 demand-weighted

Bedsheet + 2 pillow covers
n = 56 · ₹325 demand-weighted

Ankle socks, pack of 5
n = 56 · ₹128 demand-weighted

Cotton bath towel
n = 56 · ₹227 demand-weighted

Listing median above what buyers pay

₹415
₹323
₹404
₹133
₹234

+58%
+54%
+24%
+4%
+3%

80100140180220

● demand-weighted median (reviews as weights) ◆ listing median | 8% gate — middle 50% of listings (P25–P75)

Volume follows price: briefs ($\rho = -0.53$)

■ Share of listings ■ Share of reviews

< ₹200

₹200–249

₹250–299

₹300–399

₹400–599

₹600+

11

43

23

24

9

1

27

26

18

5

13

0

Listings under ₹200: 11% of the shelf, 43% of reviews (n = 56).

Worked example, real prices (briefs 3-pack)

Comparable-set median (demand-weighted)
Gate: 8% below

₹209
₹192

Factory Direct floor (₹80 making cost)

₹180 → 13.8% ✓

Reseller floor (buys via wholesaler)

₹220 → -5.4% ✗

Catalogue: 18 of 24 live SKUs clear

75% ≥ 60% → badge

3 SKUs at ~30%, 21 at market

13% < 60% → no badge

Price Truth Index: the method

1 Comparable set Product type × pack size, e.g. men's briefs, 3-pack

2 Demand-weighted median Weighted by delivered orders (reviews in our teardown); a list-price median overstates by up to 58%

3 SKU gap $\text{gap} = (\text{median} - \text{seller price}) \div \text{median}$

4 Catalogue gate ≥ 8% gap on ≥ 60% of live SKUs; sellers above ₹5 cr GMV; one loss-leader cannot buy the badge

5 Dominant-seller fix A seller with > 30% of a set's orders is scored against the median without its own orders

6 Badge + re-rank, with a holdout Matched control; read at Day 30 (page 9); badge off if the gap falls below 4%

Four verdicts, four actions (prototype, 180 synthetic sellers)

Verdict	Sellers	Action
C2M-ready	62	Badge + re-rank + Demand Brief
Scale without price	84	No badge; offer value-tier SKUs
Loss-leader pattern	18	No badge: the catalogue gate holds
Near miss	16	Factory Node offer; re-score in 28 days

180

sellers above ₹5 cr screened

34%

pass the gate

7 of 10

largest sellers fail

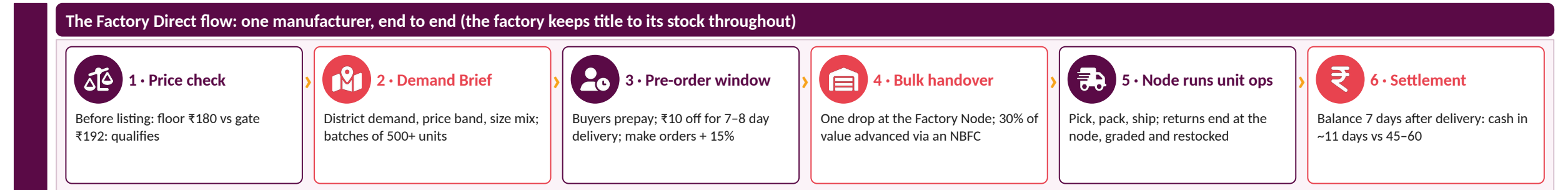
Size and price gap are unrelated ($r = -0.18$): the largest sellers are traders whose scale never became price. The same rules run unchanged on Meesho's order tables.

Decision: launch the Price Truth Index on delivered-order medians in 9 categories in weeks 1–3, at ₹0 capex. Owner: Pricing + Data Science · KPI: badge lift ≥ 12% vs holdout by Day 30.

Sources: S10 team teardown (meesho.com search, 2 Oct 2026; 56 listings per query; reviews used as the demand weight) · S22 | Prototype panel: synthetic, seeded data (fictional sellers) | Method: Appendix B

5

Factory Direct takes unit operations and stock risk off the factory, cutting its lowest viable price from ₹194 to ₹180



OPERATING MODEL

Unit economics per 3-pack kept, one change per column (₹, Tiruppur briefs)

	Reseller today	+ Factory lists direct	+ Factory Node	+ Prepaid pre-order batch
Scenario (one change per column)	Existing: buys via a wholesaler, ships, stocks	Step 1: no wholesaler mark-up	Step 2: bulk drop; node packs, ships, grades	Proposed: make confirmed orders + 15%
Goods, net of resold returns	105.1	83.2	82.1	81.1
Unsold stock written down	7.1	5.6	5.6	0.9
Logistics: forward + packing / node fee	72.4	72.4	70.9	68.4
Customer-return fees (₹150 each)	13.0	13.0	13.0	13.0
Working capital (18% a year)	2.8	2.2	2.2	0.4
Cost per pack kept	200.5	176.5	173.9	164.0
Lowest viable price (9% margin)	₹220	₹194	₹191	₹180
Gap vs ₹209 demand-weighted median	-5.4%	7.2%	8.5%	13.8%
Clears the 8% gate (≤ ₹192)?	× no	× no	✓ yes	✓ yes

Per 100 shipped: 14% fail delivery (4.6% when prepaid), 8% of delivered returned; sellers pay no RTO fee. Highest making cost that clears the gate: ₹78.7 → ₹80.9 → ₹90.7 (+15%): the levers widen the pool of qualifying factories.

Why this operating model (✓ removes the barrier • partly × no)

	Unit ops	Stock risk	Returns	FDI-legal	Low capex
Open marketplace: factory self-ships	×	×	×	✓	✓
Fully managed: platform buys and holds stock	✓	✓	✓	×	×
Factory Direct: seller-owned stock at a partner node	✓	✓	✓	✓	—

Fully managed fails Press Note 2: an FDI marketplace may not own or control seller inventory [S19]. Temu itself moved US sellers to semi-managed (20% of US GMV, Q3 2024) [S16].

The factory's view: B2B today vs Factory Direct

	B2B to a distributor	Factory Direct
Margin per pack	₹7.9	₹18.3 on a pre-order at ₹182
Unsold stock	None: made to order	Only the 15% buffer
Returns	None	End at the node; pool caps losses
Cash	45–60 day terms	30% at handover, rest ~7 days

Decision: open one partner-run Factory Node in Tiruppur after the Day-30 gate (₹1.3 cr set-up). Owner: Valmo + Category • KPI: 95% of batch orders shipped within 48 h of handover.

Factory-direct works when platforms supply demand data and logistics; Shein Brazil squeezed price and kept 1 of 336 factories

PRECEDENT

Six cases: what each proves, with one dated number

Pinduoduo

China · New Brand Initiative

Anonymised demand data handed to factories

900+ factories, 2,200+ custom products, 115 mn+ orders by end-2019 [S15]

Copy: Demand Brief

Taobao C2M

China · Taobao Deals / Taote, 2020

Consumer insight, product R&D and finance for factories

Target 10 bn new orders in 3 yrs [S23]; 280 mn annual buyers, Dec 2021 [S24]

Copy: batch prepayment

Temu

Global · semi-managed

Merchant keeps stock in a local warehouse; platform runs the storefront

Semi-managed = 20% of US GMV, Q3 2024; +80,000 merchants planned for 2025 [S16]

Copy: seller-owned node stock

Shein

China · on-demand

Tests each new product in a small first batch, then restocks only what sells

"Small initial batches of 100 to 200 items" (Shein to AFP, Mar 2024) [S25]

Copy: confirmed-order batches

Shein Brazil

Brazil · local factories

Asked factories for ~30% price cuts and faster delivery

~\$150 mn pledged for 2,000 factories; 336 signed; 1 producing by Feb 2026 [S17]

Avoid: price squeezes

Meesho + ONDC

India · H2 bets, MSME-TEAM

Valmo and Content Commerce began as capped H2 bets and are now core [S1]

Valmo: 50-55% of deliveries [S2]; MSME-TEAM: ₹277 cr to onboard 5 lakh MSMEs [S18]

Copy: H2 cap; co-fund camps

What we copy, in order

Measure the gap

Share demand

Batch on orders

Stock near buyers

Pinduoduo/Taobao → Pinduoduo → Shein → Temu

Pitfalls and our guardrail

✗ Price squeeze (Shein Brazil)

✓ The gate measures a gap that exists; no price asks

✗ Platform-owned stock (Temu full-managed)

✓ Seller keeps title; node is an arm's-length 3PL

✗ Order subsidies (group-buy era)

✓ Impressions, never rupees per order

✗ Capex before demand

✓ No node before the Day-30 gate

RICE: 8 levers → build sequence (Reach = sellers touched in Year 2; Effort = person-months)

#	Lever	Stage	Reach	Impact (0.25-3)	Confidence	Effort	RICE score	Year-1 cash	Needs first
1	Price gate + C2M badge	Acquire	900	2	90%	2	810	₹0	—
2	Health Score + rulebook	Scale	900	2	85%	3	510	₹0	—
3	Cluster co-op onboarding	Acquire	810	2	85%	3	459	₹5.0 cr	Price gate
4	District Demand Brief	Scale	900	2	75%	4	338	₹6.0 cr	Co-ops
5	Prepaid pre-order batches	Scale	765	3	70%	5	321	₹0	Demand Brief
6	Factory Node (partner 3PL)	Acquire	900	3	80%	8	270	₹7.8 cr	Day-30 gate
7	Batch prepayment (NBFC)	Scale	675	2	70%	4	236	₹0.2 cr	Batches
8	Returns firewall pool	Acquire	630	3	65%	6	205	₹3.0 cr	Factory Node

Sequence:

diagnostic and free first, capital last. RICE order already respects every dependency: batches need the brief, prepayment needs batches, the firewall needs the node.

Cheap first: the top two cost ₹0 and touch all 900 sellers.

Decision: copy demand data, batching and seller-owned nodes, in that order; never ask a factory for a price cut. Owner: Strategy · KPI: factory retention ≥ 75% at Day 90.

Sources: S1, S2, S15 KrASIA, S16 Tech Buzz China, S17 Reuters, S18 Inc42, S23 Xinhua, S24 Alibaba results, S25 AFP | RICE inputs: Appendix B · detailed KPI table: Appendix C

7

Impressions, not rupees: a ₹3,750 visibility grant fixes the cold start, and rules handle 90 of 93 interventions without people

SCALE-UP

The manufacturer journey: what fires, when, and what we watch

Stage	When	What Meesho does, automatically	Trigger	Seller sees	KPI target
Qualify	Day 0	Badge on; re-rank inside the category	Passed the price gate	C2M badge	Gap ≥ 8% at onboarding
Allocate	D0–D14	Starter impressions in Demand Brief districts	Onboarding	First orders where demand is	Orders vs cohort curve
Rescue	D7, D14	+25K impressions for 7 days (max 2 grants)	Orders < 60% of cohort median	WhatsApp: grant applied	Back in band by D21
Diagnose	Daily	Health Score from five signals (page 9)	Every day	Weekly score card	Score 0–100
Remedy	On trigger	Price nudge · QC hold · node offer · restock	8 rule thresholds	One specific fix	Days to recover
Graduate	D30+	Batch prepayment unlocked	Score ≥ 80 for 30 days	Cheaper working capital	≥ 40% by D60
Retain	D60+	Weekly brief; prepaid batches; Mall path	Graduated, gap held	Steady demand, fast cash	Active at D90 ≥ 75%
Escalate	Exception	Category manager reviews the case	Score < 40 for 7 days after a fix	A call	≤ 5 per 100 a month

One seller's first 37 days (prototype, fictional Kavin Knit Mills)

Day 0

Badge on; first batch handed over at the node

Day 7

Orders at 41% of the cohort median (floor 60%): a grant fires, nobody calls

Day 8+

Orders recover into the cohort band; score climbs past 80

Day 37

Graduates: batch prepayment unlocked

Scales without headcount

90:3

automated vs human actions in the simulated 60-seller pilot

~910 sellers per category manager = 40 reviews a month ÷ (3 escalations ÷ 68 seller-months). 1,400 sellers need ~2 reviewers, not ~70 account managers at 1 per 20.

The cold-start loop, in Meesho's words

"If their quality is not that great, they do not get visibility for orders. And products that have very good quality continue to scale on the platform."

Vidit Aatrey, CEO, Q4 FY26 call [S2]

A new factory needs orders to prove quality and quality to earn orders. Grants break that loop with traffic, not cash.

Grant economics: traffic, not cash

+25K

impressions for 7 days when orders < 60% of the cohort median at D7 or D14

max 2

grants per seller; ≤ 20% of category impressions, hard cap

₹3,750

per seller at most (50,000 impressions × ₹75 per 1,000) [A19]

20×

cheaper than a ₹10-per-order subsidy for 30 days (₹75,000 at ~250 orders a day)

Explicitly rejected

✗ Order subsidy or paid boosts:

buys volume, not conviction; stops when funding stops

✗ Account manager per seller:

works at 20 sellers, breaks at 200

✗ Onboarding by turnover:

the brief's own diagnosis: scale is not price

✗ Weakening the quality gate:

grants target traffic, never ranking rules

Decision: switch on grants and the rulebook with the first 60 sellers; cap grants at 20% of category impressions. Owner: Growth + Data Science · KPI: ≥ 70% at cohort pace by Day 21.

Sources: S1 (seller-success: "help new sellers gain visibility faster"), S2 Meesho Q4 FY26 call | Assumptions: A19 (₹75 per 1,000 impressions), category-manager capacity 40 reviews a month | Prototype: synthetic 60-seller pilot, fixed seed

8

Nine funnel KPIs and a daily Health Score tell Meesho by Day 30 whether to fund, tighten or stop C2M

MEASUREMENT

KPI tree: onboarding → activation → retention, with guardrails

NORTH STAR · Price-competitive C2M NMV

NMV from sellers whose catalogue still clears the 8% gate · target ₹641 cr run-rate at Year-1 exit, ₹1,995 cr by Year 4

ONBOARDING	ACTIVATION	RETENTION
Qualified → listed ≥ 50% in 30 days	Orders at D7 / D14 ≥ 60% of cohort median	Active at D90 ≥ 75%
Days to first live listing ≤ 7	First-30-day orders ≥ cohort p50 for 70%	Still clear the gate at D14 / D30 ≥ 70%
First batch committed ≤ 14 days	Days to 10th order ≤ 10	Graduated by D60 ≥ 40%

Guardrails and P&L links: category NMV ≥ pre-period · badged ≤ 20% of category impressions · quality returns ≤ 1.5× norm · escalations ≤ 5 per 100 sellers a month · prepaid share of C2M orders ≥ 68.5% · failed deliveries 4.7 pts below the category

C2M Seller Health Score: 0–100, daily

- 30% Price gap held today's gap ÷ gap at onboarding
- 25% Order pace 14-day orders ÷ cohort median (0.3 → 0, 1.0 → 100)
- 20% Quality returns ≤ 1× category norm = 100, 2× = 0
- 15% On-time dispatch 7-day SLA: 80% → 0, 97% → 100
- 10% In-stock live SKUs in stock: 50% → 0, 95% → 100

≥ 80 for 30 days → graduate · < 40 for 7 days after a fix → a person

Rulebook: 9 automatic actions, 1 human

- Orders < 60% of cohort median at D7 / D14
→ Impression grant
Gap < 4% for 3 days
→ Badge off; back after 7 days ≥ 8%
On-time dispatch < 90% over 7 days
→ Offer Factory Node
Score ≥ 80 for 30 days
→ Graduate: prepayment
- Gap < 8% for 7 days
→ Price-drift nudge
Quality returns > 1.5× norm
→ Badge suspended + QC
In-stock < 70% for 3 days
→ Restock nudge from the brief
Score < 40 after a fix
→ Category manager

Day-30 readout: fund, tighten or stop

Design	Rule
62 badged sellers vs a matched holdout, 28 days	Standard error ≈ 1.6 pts → detectable lift ≈ 4.5% at 80% power
Fund	NMV per live SKU ≥ 12% above holdout (interval > 0) and ≥ 70% still clear at D14
Tighten	Lift < 12%: raise the gate to a 10% gap and re-run
Stop	Gap decays: badge off, no node money released



Cadence and owners

When	What	Owner
Daily	Rules run, grants fire, scores update	Data Science
Weekly	KPI review; gate re-score of every badged seller	Category, Growth
Monthly	Recalibrate weights and thresholds	Pricing + DS
Quarterly	H2 review: adoption and retention decide graduation to H1 [S1]	Finance

Decision: instrument the north star and the Health Score before the first badge goes live. Owner: Data Science · KPI: Day-30 readout on Day 31 with a fund, tighten or stop call.

₹75 cr NPV at 12% and payback in Year 3; NPV stays positive down to 45% of planned seller yield

FINANCIAL CASE

Five-year case (₹ cr, nominal; NPV = sum of the PV row)

	Year 1	Year 2	Year 3	Year 4	Year 5
Average active sellers [A3]	200	700	1,050	1,300	1,450
C2M NMV, year average [A4]	140	700	1,260	1,853	2,066
Placed orders (mn)	9	45	81	119	133
Incremental orders × ₹7.3 [A8]	2.6	13.2	23.8	34.9	39.0
Fewer failed deliveries × ₹60 [A11]	2.6	12.8	23.0	33.8	37.7
Benefit to Meesho	5.2	26.0	46.8	68.7	76.7
People [A13, A14]	3.6	6.0	7.2	7.8	7.8
Cluster onboarding [A15]	5.0	3.0	2.0	2.0	0.0
Demand Brief [A16]	6.0	3.0	3.0	3.0	3.0
Factory Nodes [A17]	7.8	2.6	2.6	2.6	0.0
Returns pool, grants, first-loss [A18–A20]	3.4	1.9	3.2	4.7	5.2
Programme cost	25.8	16.5	18.0	20.1	16.0
Net cash flow	-20.6	9.5	28.7	48.6	60.7
PV at 12%	-18.4	7.6	20.4	30.9	34.4

NPV at 12%

₹74.9 cr

NPV at 15%

₹66.1 cr

IRR

105%

Payback

Year 3

Discounted payback

Year 3

Year-1 cash (+ people)

₹22.2 cr (+₹3.6 cr)

Sensitivity: NPV with each driver at -20% / +20% (base ₹75 cr)

Seller yield (₹1.425 cr NMV / seller)	48	102
Incremental orders (40% × ₹7.3)	60	90
Failed-delivery saving (15 pts × ₹60)	61	89
Programme cost	61	89
Prepaid pre-order share (50%)	64	86

Bars show NPV (₹ cr) when one driver moves 20% against or in favour of the plan; programme cost is plotted so that left = worse.

Break-even and scenarios

NPV = 0 at 45% of planned seller yield (49% of planned benefit). Still positive with zero incremental orders (₹1 cr) or with no failed-delivery saving (₹9 cr): each lever alone almost repays the programme.

Bear -₹10 cr

20% incremental · 8-pt gap · 75% yield

Base ₹75 cr

40% incremental · 15-pt gap · plan yield

Bull ₹140 cr

55% incremental · 20-pt gap · 110% yield

What changed since Round 1, and how money is released

Round 1: ₹156 cr NPV counted contribution on every C2M order. Round 2 counts only the 40% that are incremental, plus fewer failed deliveries (₹75 cr); if every order were incremental: ₹186 cr.

Day 0–30

₹0: badge test on existing data

Day 31–90

₹7.3 cr: 2 clusters, Brief build, 1 node, pool seed

Q2–Q4

₹14.9 cr: 3 clusters, 5 nodes, Brief run

From Meesho's per-order economics (Q1 FY27) to a C2M order

₹263

GMV per placed order

C2M: ₹237 (-10%) [A9]

61%

NMV ÷ GMV

C2M: 65.7% (+4.7 pts fewer failures)

37%

Prepaid share of shipped orders

C2M: 68.5% with 50% pre-orders [A10]

₹7.3

Contribution per placed order

Value per C2M order: 40% × ₹7.3 + ₹2.8 = ₹5.8

Decision: approve ₹22.2 cr cash for Year 1 as a capped H2 bet, released at the Day-30 and Day-90 gates. Owner: Finance · KPI: Year-1 C2M NMV ≥ ₹140 cr.

Sources: S1 (₹531 cr contribution on 725 mn placed orders; prepaid 37%; NMV ₹11,614 cr on GMV ₹19,054 cr), S11, S13 | NPV: t = 1..5, year-end, no terminal value · Year NMV uses average active sellers; page 4 shows exit run-rates (Year 4: ₹1,853 cr vs ₹1,995 cr)

10

Three gated phases take C2M from a ₹0 price test to 1,400 factories; Year 1 needs ₹22.2 cr of capped cash

EXECUTION

Phase × workstream: a concrete action in every cell

Workstream	Owner	Days 0–30 · prove the gap	Days 31–90 · pilot	Q2–Q4 · Wave 2	Years 2–4 · scale
Price screen	Pricing	Medians in 9 categories; badge + holdout	Weekly re-score; badge-off rule live	Gate in all Wave 2 categories	Gate is the default listing check
Supply	Category	Shortlist C2M-ready sellers	Tiruppur + Panipat co-ops: 60 factories	+ Ludhiana, Rajkot, Erode: 450	12 clusters: 1,400 factories
Demand	Data Science	Brief prototype on order data	Briefs live in 5 categories	Pre-order window in all briefs	Briefs refresh weekly, all 9
Operations	Valmo	Partner-warehouse quotes, Tiruppur	1 Factory Node (after Day 30)	6 nodes, returns end at nodes	12 nodes, one per cluster
Money	Finance	₹0 capex	NBFC partner; 30% advances	Returns pool; first-loss 1%	Graduate to H1 budget
Scale-up rules	Growth	Health Score baseline	Grants + rulebook live	≤ 2 reviewers per 1,000 sellers	Meesho Mall path for graduates
Gate		Day 30: lift ≥ 12%, ≥ 70% still clear	Day 90: 3 of 4: SLA, returns at node, retention ≥ 70%, category NMV ≥ base	Each wave opens only if the last held its Day-90 numbers	H2 → H1 on adoption and retention [S1]

KPI targets by phase (same denominators throughout)

KPI	Day 30	Day 90	Year-1 exit	Year-4 exit
Active C2M sellers	Shortlist	60	450	1,400
Run-rate C2M NMV	—	₹85.5 cr	₹641 cr	₹1,995 cr
C2M NMV still clearing the gate	≥ 70%	≥ 70%	≥ 75%	≥ 80%
Prepaid share of C2M orders	—	≥ 37%	≥ 68.5%	≥ 68.5%
Factory retention at Day 90	—	≥ 70%	≥ 75%	≥ 75%
Cumulative programme cash	₹0	₹7.3 cr	₹22.2 cr	₹55.9 cr

Top risks, sorted by likelihood × impact

Risk	L	I	Guardrail	Owner
The gap was a promotion	H	H	Day-30 stop rule; badge off below 4%	Pricing
Export recovery pulls factories back	H	M	Batches fill idle capacity between export runs	Category
Quality falls with price	M	H	Suspend at > 1.5× return norm; QC hold	Category
Node or advances read as inventory control	L	H	Seller keeps title; NBFC lends; 3PL fees at arm's length	Legal
Re-rank starves resellers	L	M	≤ 20% of category impressions; category NMV guardrail	Growth

The ask

Budget ₹22.2 cr cash in Year 1 (+₹3.6 cr people), capped as an H2 bet; ₹0 until Day 30

Decisions (1) run the Day 0–30 badge test with a holdout; (2) name owners in Pricing, Category, Valmo, Finance; (3) sign a Tiruppur partner warehouse and an NBFC; (4) publish the price-gap badge as a ranking parameter before 1 Jan 2027

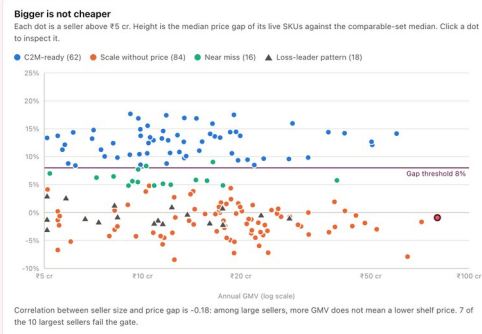
Dates Day 0: 2 Nov 2026 · Day 30: 2 Dec 2026 · Day 90: 31 Jan 2027

Go / no-go badged NMV per live SKU ≥ 12% above holdout, ≥ 70% still clearing at D14

Ask: approve the ₹0 Day-30 test now and a capped H2 budget of ₹22.2 cr for Year 1, released only when the Day-30 and Day-90 gates pass.

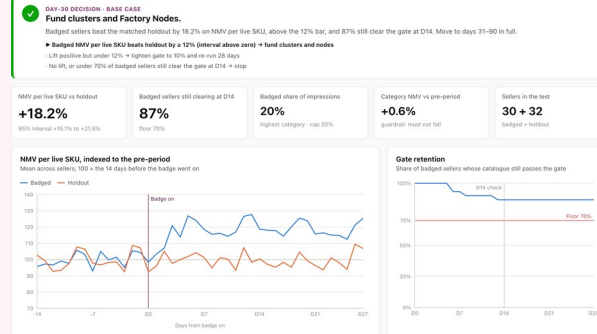
The working prototype runs every rule in this deck end to end, on synthetic data that mirrors Meesho's order tables

APPENDIX A



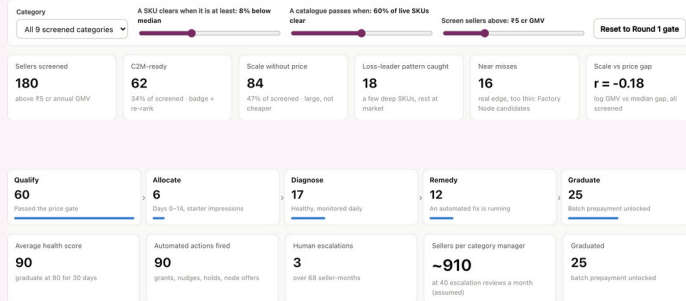
1 • Price Truth Index supports p5

Size vs price gap for every seller above ₹5 cr: $r = -0.18$; 7 of the 10 largest fail



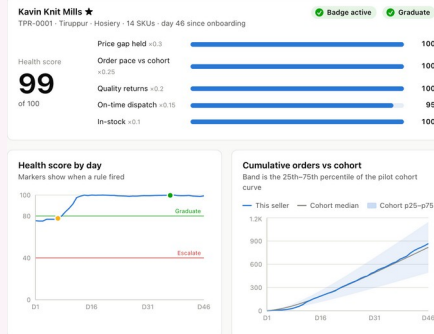
2 • Day-30 readout supports p9

Badged vs holdout NMV per live SKU with a bootstrap interval → fund / tighten / stop



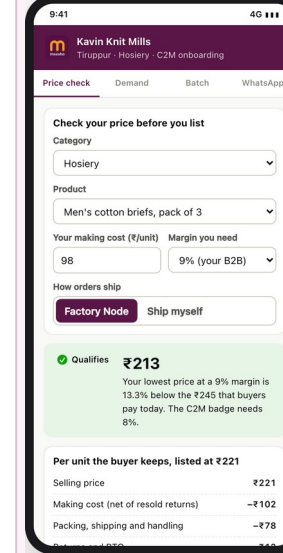
3 • Gate controls + Seller Health stages supports p5, p8

Gate sliders re-score every seller; 60 pilot sellers by stage



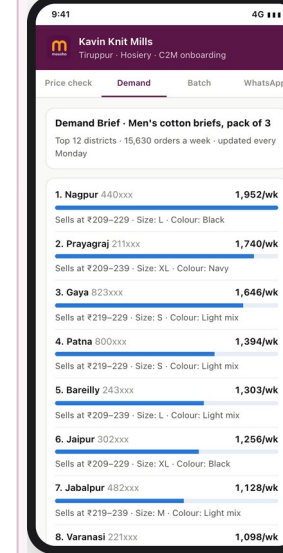
4 • One seller's Health Score supports p8, p9

Five signals, the rule that fired, the next action



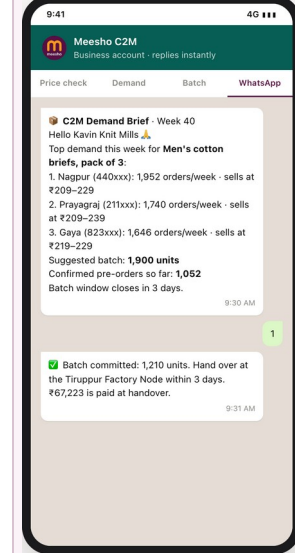
5 • Manufacturer app: price check

Lowest viable price vs market median, before listing supports p6



6 • Demand Brief + batch

District demand → batch size → one-tap commit supports p6



7 • WhatsApp nudges

Grant applied, batch confirmed, payout dates supports p8



Open it live: meesho-dice-c2m-iitb.vercel.app

Mirror: prathmesh-28.github.io/c2m-control-tower • Offline: one HTML file in prototype/dist-single

Every figure in the deck traces to a numbered source [S#] or a registered assumption [A#] in one master model

APPENDIX B

Sources [S#] (publisher • title • date)

S1 Meesho: Q1 FY27 Shareholders' Letter (quarter to 30 Jun 2026) (Aug 2026)
S2 Meesho: Q4 FY26 earnings call transcript (6 May 2026)
S3 Deccan Herald; Apparel Resources; Inc42: Meesho FY26 results coverage (May 2026)
S4 ICRIER: Annual Survey of MSMEs in India 2025 (n = 2,365, Fig. 16) (Mar 2025)
S5 Ministry of MSME: S.O. 1364(E): revised MSME limits (21 Mar 2025)
S6 RBI: OBICUS, Q2 FY26: capacity utilisation 74.3% (Oct 2025)
S7 Udyam portal (team pull); PIB: Udyam registrations (Jun 2026; 28 Feb 2026)
S8 The Federal; Deccan Herald: Tiruppur output, exports, tariff impact (2025–26)
S9 The Tribune: Panipat textile industry hit by weak demand, high costs (17 Aug 2026)
S10 Team teardown: meesho.com search: 279 live listings, 5 product types (2 Oct 2026)
S11 Shiprocket; Robnu: Meesho seller fee guides (return fee, RTO policy) (2026)
S12 Shiprocket: Fulfilment pricing: ₹24 per order, 500–3,000 orders a month (2026)
S13 GoKwik via Base; TrackVid: COD vs prepaid RTO benchmarks (industry estimates) (2026)
S14 Flipkart newsroom; Business Standard: 0% commission moves (Amazon, Flipkart) (Nov 2025 – 8 Jul 2026)
S15 KrASIA: Pinduoduo New Brand Initiative (end-2019 figures) (2020)
S16 Tech Buzz China: Temu Watch #6: semi-managed share of GMV (27 Dec 2024)
S17 Reuters via FashionNetwork: Shein tried to turn Brazil into a production hub (Feb 2026)
S18 Inc42: MSME-TEAM: ₹277 cr to onboard 5 lakh MSMEs onto ONDC (2024)
S19 Khaitan & Co; LexOrbis: Press Note 2 (2018); E-Commerce Amendment Rules 2026 (2018; Sep 2026)
S20 Finnovate; Zappchai (DRHP-based): Meesho category mix estimates (2025)
S21 Apparel Resources: Tirupur rewires its growth playbook (owner interviews) (25 Jun 2026)
S22 Team 23B0747: Round 1 research: 24 interviews, cluster AHP, sizing funnel, category screen (Sep 2026)
S23 Xinhua: Taobao C2M: 10 bn new orders for factories in 3 years (27 Mar 2020)
S24 Alibaba Group: December Quarter 2021 Results (Taobao Deals) (23 Feb 2022)
S25 AFP via Malay Mail: Shein statement on 100–200 item first batches (24 Mar 2024)
S26 Bank of Baroda: E-commerce business loans for marketplace sellers (2026)

Assumption register [A#] (value • source • confidence H/M/L)

ID	Assumption	Value	Source	C	ID	Assumption	Value	Source	C
A1	Mature NMV per C2M seller	₹1.425 cr	S22	M	A17	Nodes (year-end); set-up; life	6 → 12; ₹1.3 cr; 5 yrs	Team	L
A2	Year-4 capture of SAM	12%	S22	M	A18	Returns firewall pool	₹3 cr; then 0.1% of NMV	S22	L
A3	Average active sellers, Y1–Y5	200 → 1,450	Team plan	M	A19	Grant valuation; impressions	₹75 CPM; 50,000 impr.	Team	L
A4	NMV per seller, Y1–Y5 (₹ cr)	0.70 → 1.425	Team plan	M	A20	NBFC advance; Meesho first-loss	30%; 1%	S26	L
A5	Typical target factory turnover	₹25 cr	S5	L	A21	Discount rate; stress rate	12%; 15%	S22	M
A6	Meesho NMV in C2M categories	40%	S20	L	A22	Making cost, briefs 3-pack	₹80	interviews	L
A7	Price gap passed to buyers	8%–12%	S22	M	A23	Target margin on price	9%	S22	M
A8	Incremental share of C2M orders	40%	Team	L	A24	Wholesaler mark-up	15%	Team	L
A9	C2M GMV per order vs average	10%	A7	M	A25	Hosiery: failed deliveries; returns	RTO 14%; returns 8%	Team	L
A10	Prepaid pre-order share	50%	survey	L	A26	Return fee to seller	₹150	S11	M
A11	Failed-delivery gap, COD vs prepaid	15 pts	S13	L	A27	Failed-delivery fee to seller	₹0	S11	M
A12	Meesho cost per failed delivery	₹60	S11, S13	L	A28	Logistics fees, self / node	₹55/42 fwd; ₹10/20	S11, S12	L
A13	Loaded cost per FTE-year	₹0.3 cr	Team	M	A29	Value recovered, self / node	85% / 90%	Team	L
A14	Programme FTE, Y1–Y5	12 → 26	Team plan	M	A30	Capital cost; inventory days	18%; 45 vs 10 days	S4	M
A15	Clusters (year-end); onboarding cost	5 → 12; ₹1 cr each	S22	M	A31	Unsold share; salvage value	10% vs 2%; salvage 50%	Team	L
A16	Demand Brief cost, Y1–Y5	₹6 cr, then ₹3 cr	S22	M	A32	Pre-order discount (7–8 days)	₹10	survey	L

Method and sample

Teardown [S10]: meesho.com search, 2 Oct 2026; first 56 listings per query; 279 listings, 5 product types; demand weight = review count; plastics query returned none and was dropped.
Interviews [S22]: 24 owners (8 per cohort, Round 1) + 3 published owner interviews [S21].
Buyer survey: [FILL: n, dates, quotas achieved vs target (≥ 150; ≥ 30 per tier); stated intent counted at 50%]
Power: 62 sellers × 28 days, SE ≈ 1.6 pts, MDE ≈ 4.5% at 80% power.

Workings index (formula → page)

Sizing: NMV = sellers × ₹1.425 cr; savings = NMV × g ÷ (1 – g) → p4
Unit cost: (make + unsold – resold + logistics + returns + capital) ÷ kept → p6
Benefit: orders × (incremental × ₹7.3 + Δfailed × ₹60) → p10
Δfailed: pre-order share × (1 – 37%) × 15 pts = 4.7 pts → p10
AHP: geometric means, CR = (λ – 5) ÷ 4 ÷ 1.12 → p3, Appendix C
RICE: reach × impact × confidence ÷ effort → p7

Detailed benchmarks, compliance by design and the decision-model workings behind pages 3, 6 and 7

Benchmark detail: KPI × company (dated, sourced)

	Pinduoduo NBI	Taobao C2M	Temu semi-managed	Shein	Shein Brazil
Year of data	End-2019	2020; Dec 2021	Q3 2024	Mar 2024	Apr 2023 – Feb 2026
Factories / merchants	900+ in C2M production	1,000 “super factories” targeted	+80,000 planned for 2025	Network (not disclosed)	336 signed of 2,000; 1 producing
Demand data to factories	✓ anonymised	✓ consumer insight	– platform prices	✓ real-time	×
Who holds stock	Factory	Factory	Merchant, local warehouse	Shein	Factory
Batching	Custom runs	C2M runs	—	100–200 item first runs	Large runs, fast
Price lever	Demand scale	Finance + insight	Platform-set	Small batches	~30% price-cut asks
How Meesho uses it	Demand Brief	NBFC prepayment	Seller-owned node	Pre-order batches	Never ask for cuts

Compliance by design

Rule	Requires	Our design
Press Note 2 (2018)	Marketplace may not own or control seller inventory	Seller keeps title at the node; Valmo sells warehousing at arm’s length
Press Note 2 (2018)	Fair, non-discriminatory services; no exclusivity	Badge and grants are published rules any seller can meet
E-Commerce Rules, 2026 amendment (from 1 Jan 2027)	Ranking parameters by importance; sponsored labelled	Publish the price-gap badge as a ranking parameter; grants are organic, never sold
Dark-pattern guidelines (2023)	No false urgency or hidden terms	“Ships in 7–8 days, ₹10 off” shown before payment
DPDP Act (2023)	Protect personal data	Demand Briefs use district aggregates only
GST	Stock at a third-party site	Node registered as the seller’s additional place of business

Cluster AHP: pairwise matrix (CR 0.016)

	C	D	R	N	I	Geo. mean	Weight
C • Cost ownership	1	1	2	3	4	1.89	0.338
D • Demand on Meesho	1	1	1	2	3	1.43	0.256
R • Returns band	1/2	1	1	1	2	1.00	0.179
N • Node feasibility	1/3	1/2	1	1	2	0.80	0.144
I • Institutional partner	1/4	1/3	1/2	1/2	1	0.46	0.083

$\lambda_{\max} = 5.072$; $CI = (\lambda_{\max} - 5) \div 4$; $CR = CI \div 1.12 = 0.016 < 0.10$. Weights reproduce Round 1’s cluster scores (Tiruppur 4.68, Panipat 4.52).

Cohort rubric (what earns a 5)

Criterion	Weight	5 =	1 =
Price edge	30%	Sells ex-factory B2B	Trader, no cost levers
Pool size	25%	> 50% of SAM	< 5% of SAM
Fixable barriers	20%	All HIGH barriers fixable	None fixable
Speed to first order	15%	KYC + catalogue on Meesho	No online catalogue
New supply	10%	New to Meesho	Was on Meesho

Weights set by the team for this decision only; equal weights give the same order (A, C, B).

Unit-economics workings (per 100 shipped)

Kept units = $100 \times (1 - RTO) \times (1 - \text{returns}) = 79.1$ (prepaid: 87.8)
Unsold = extra units made $\times$ cost $\times (1 - 50\% \text{ salvage})$; 10% build-to-stock vs 2% batch
Logistics = delivered $\times$ forward fee + shipped $\times$ packing (₹10) or node fee (₹20)
Capital = make cost $\times 18\% \times \text{days} \div 365$ (45 vs 10 days)
Floor = cost per kept $\div (1 - 9\%) \rightarrow$ proposed ₹164.0 $\div 0.91 = ₹180.2$
Reconciliation checks NPV ₹74.9 cr = $\Sigma PV \text{ row (page 10)}$ ✓ • Year-4 NMV ₹1,853 cr (average 1,300 sellers) vs ₹1,995 cr exit run-rate (1,400) ✓ • benefit = orders $\times (40\% \times ₹7.3 + ₹2.8)$ ✓ • RICE order = dependency order ✓